Nine times out of ten a purchasing document cannot be created because the master data is incomplete. This chapter follows the real sequence: **material (MM01) → vendor (BP) → purchasing info record (ME11)**, giving the screen-by-screen keystrokes, how to fill each field, and what the status bar says when something goes wrong.

0. MM01 at a glance (8 screens — do not overfill the first one)

#	Screen	What you do	Keys
1	Initial screen	Material number R-1001, industry M, material type ROH	Tab to move → Enter
2	Select views (dialog)	Tick 5 views: Basic Data 1 / Purchasing / MRP 1 / Plant Data · Storage 1 / Accounting 1	Enter or click Continue
3	Basic Data 1	Description "Steel Bracket", base unit PC, material group 00101	Tab
4	Purchasing	Purchasing group 001; leave automatic PO empty (tick it only for GR without PO)	Tab
5	MRP 1	MRP type PD, lot size EX, safety stock 20	Tab
6	Plant data / Storage 1	Plant 1710, storage location 0001, MRP controller 001	Tab
7	Accounting 1	Valuation class 3000, price control S, standard price 720.00	Tab
8	Save	✓ or Ctrl+S; note the material number and the 5 views	Ctrl+S

1. Initial screen: three fields only

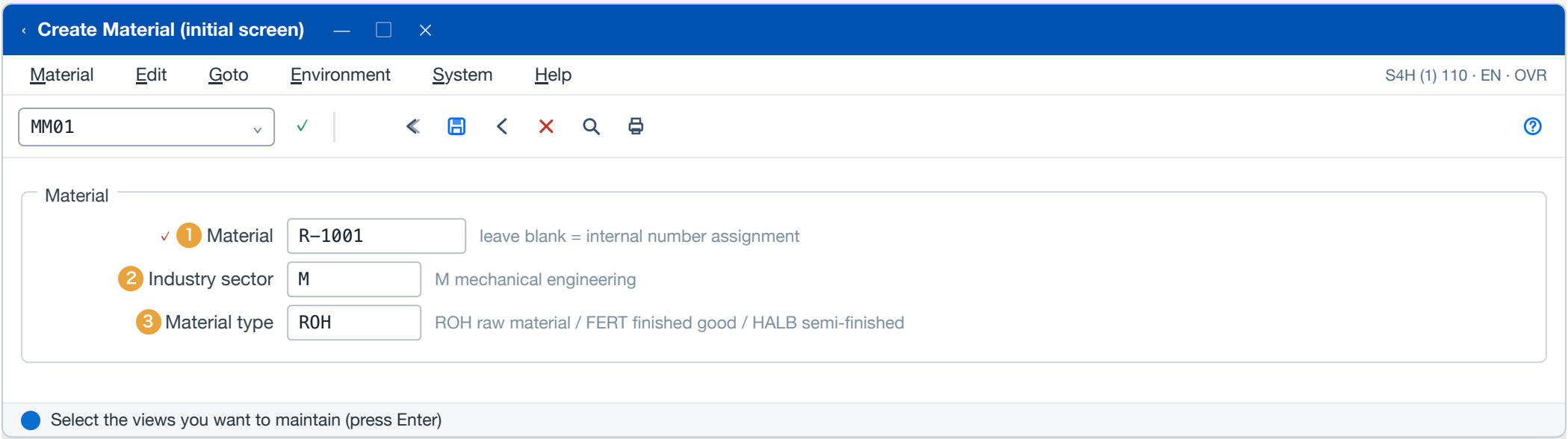


Figure 3-1 Three fields on the initial screen: material number, industry sector, material type. **The material type decides which views exist and which accounts are used**; changing it later means a different rule set and is practically impossible once created.

2. Select views: tick the wrong boxes and you lose a whole block of data

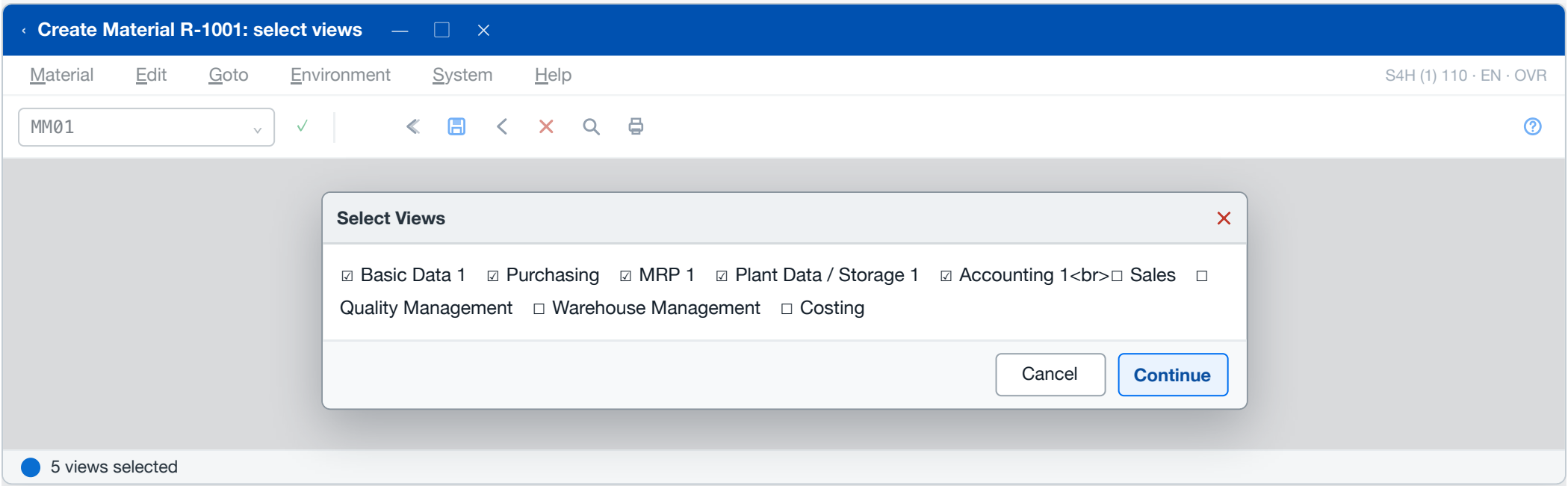


Figure 3-2 The Select Views dialog. **A purchased material needs at least these 5**; without the Purchasing view the material cannot be selected in a PO item, and without the Accounting view the goods receipt cannot post.

3. Tabbed entry: one tab per screen, Tab to move between fields

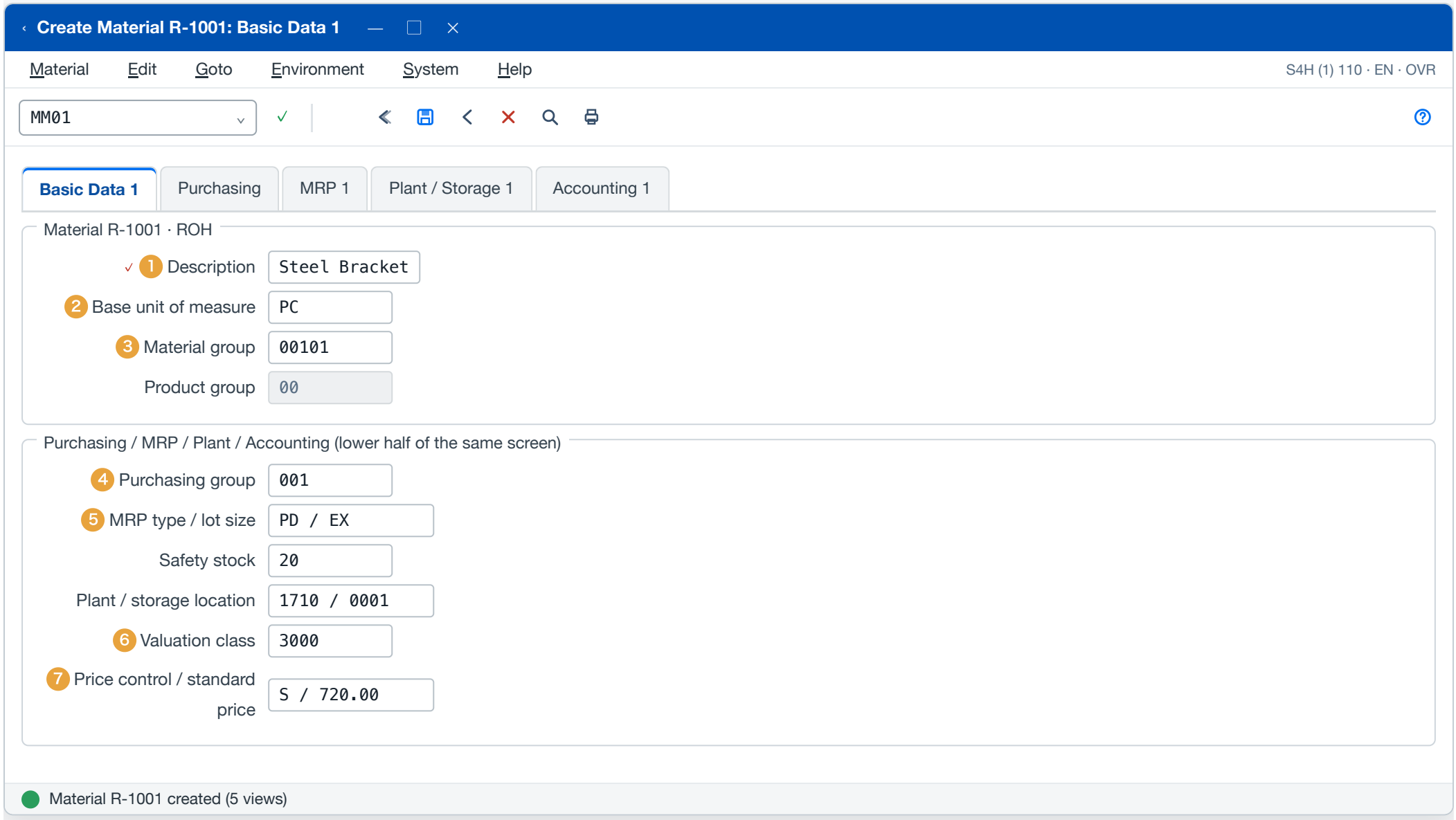


Figure 3-3 Seven key fields: description, unit, material group, purchasing group, MRP type/lot size, valuation class, price control/standard price. **Grey fields are defaulted or calculated; only white fields need input**.

4. Why those three fields hold those values

Field	Value here	Why	Consequence of getting it wrong
Material type ROH	ROH	Raw material: bought, never sold, few views, inventory accounts	FERT would add sales-view requirements and may post the receipt to the wrong account
Valuation class 3000	3000 (raw materials)	Together with OBYC it determines inventory account 140000 and GR/IR account 191100	The goods receipt fails with "Account determination failed" (M8 147)
Price control S + standard price 720	S / 720.00	Standard-price material: receipts value stock at 720, any difference to the order price goes to price variance	With V (moving average) every receipt recalculates the unit price, which is hard to reconcile in a course
MRP type PD	PD	Plans via MRP and creates purchase requisitions	ND never participates in planning, so MD04 shows no requirement
Lot size EX	EX	Orders exactly the net requirement	FX rounds to a fixed lot size (for example 100 each time)
Safety stock 20	20 PC	Requirement 400 + safety 20 − available 300 = net requirement 120	Too high inflates purchasing; 0 causes shortages

5. Verifying the result: MM03, four tabs

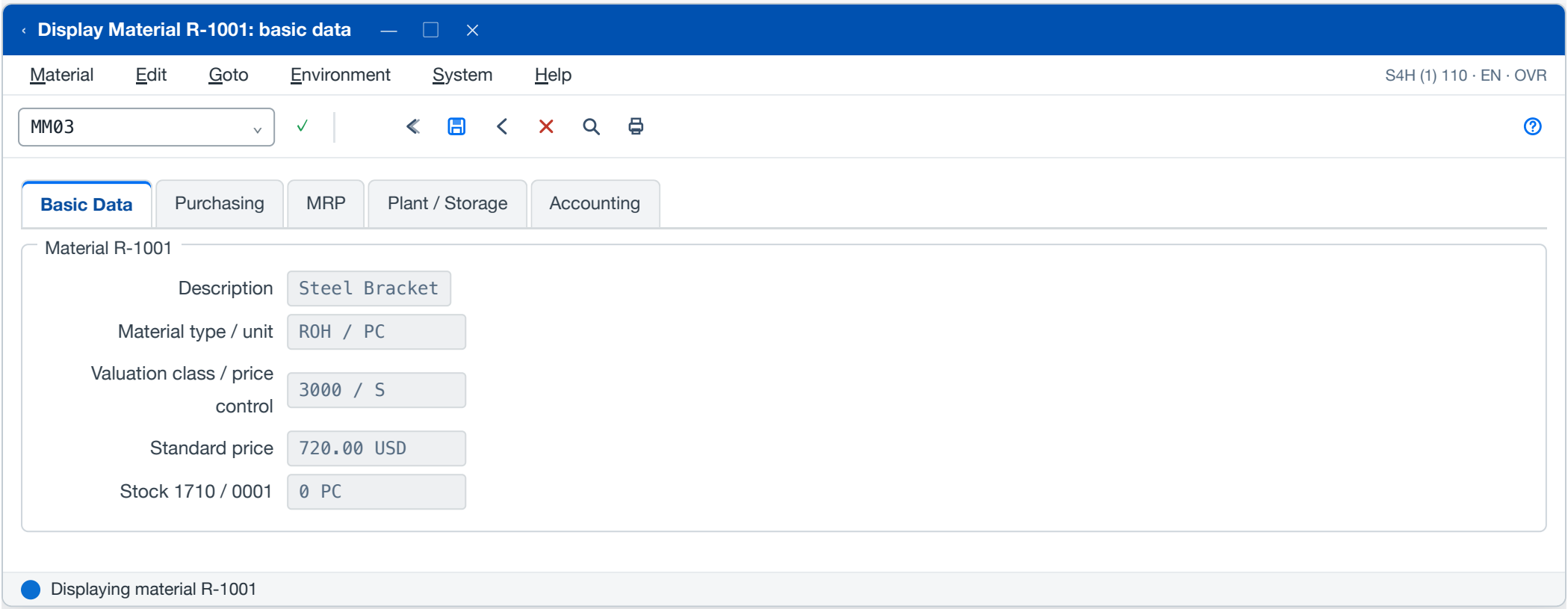


Figure 3-4 Check in MM03: all five tabs are there, standard price 720.00, stock 0 (nothing received yet). MD04 already shows the 400 PC demand and the 120 PC net requirement.

6. Vendor (BP): three tabs, four data levels

S/4HANA keeps vendors and customers in one object, the **business partner (BP)**. The same BP can be both a customer and a vendor; **roles** decide which data you see: `FLVN00` (FI vendor: reconciliation account, payment terms) and `FLVN01` (MM vendor: purchasing group, order currency). The screen splits that data into four tabs — **Address → Company code → Purchasing → Status** — which is also the entry order.

1. Business partner **100123**, role **FLVN01**, grouping **BP01**, Enter. `Enter`
2. The **role dialog** opens: tick both FLVN00 and FLVN01 (FLVN01 alone lets you order, but invoices will lack company-code data). `Space`
3. Address tab: name 1, city, country (US), language EN. This level is not organisational. `Tab`
4. Company code tab: 1710, reconciliation account 160000, payment terms 0001, tolerance group blank. `Tab`
5. Purchasing tab: org 1710, group 001, order currency USD; tick “automatic PO” only for GR without PO. `Tab`
6. Status tab: confirm no blocks, then ✓ to save. `Ctrl+S`

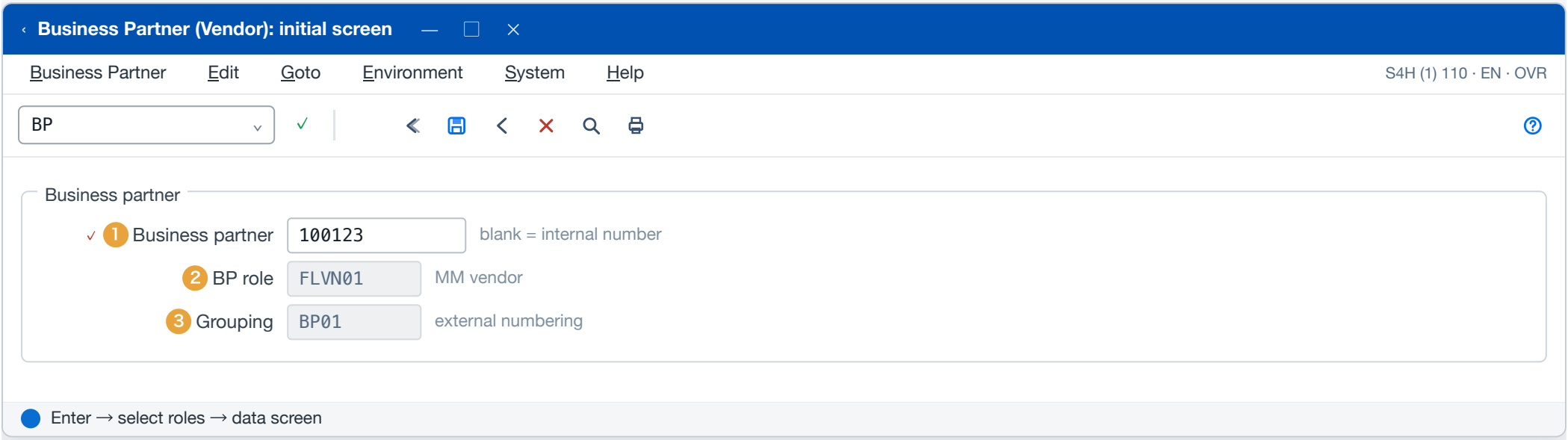


Figure 3-5 The BP initial screen has three fields: number, role, grouping. **An existing number opens in change mode** (the equivalent of XK02); only a new one creates. Chapter 5 uses that to switch on automatic PO for 100124.

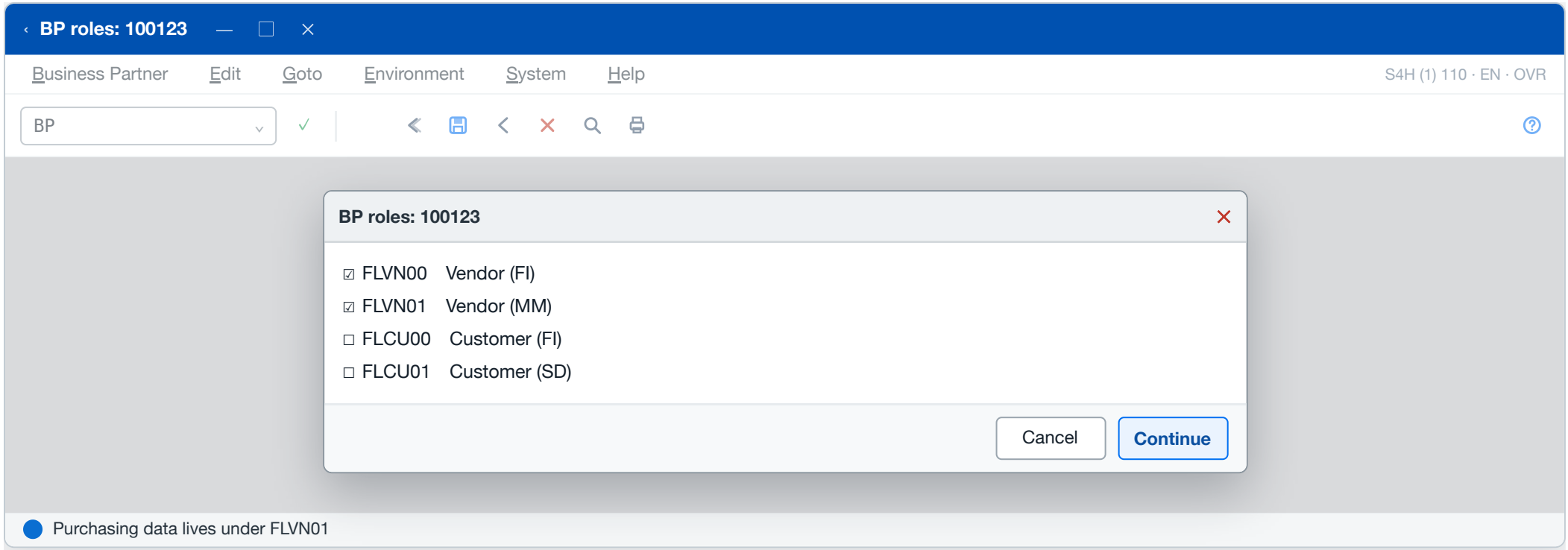


Figure 3-6 Role dialog. **Purchasing data hangs off FLVN01**; with FLVN00 only, the vendor cannot be picked in a PO. With FLVN01 only you can order, but MIRO fails for lack of company-code data.

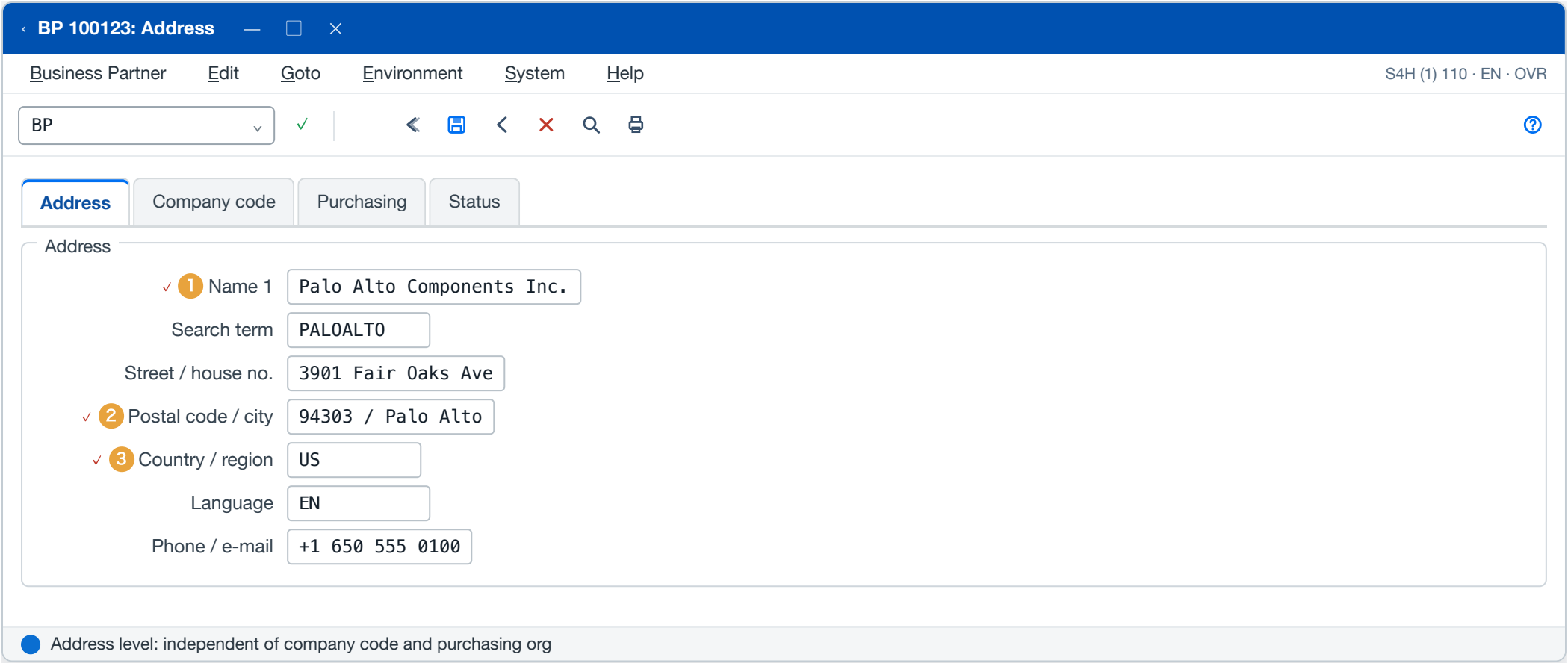


Figure 3-7 Address is the top level and belongs to the BP itself. **The name is changed here only** — there is no name field on the purchasing tab, which is where most beginners look first.

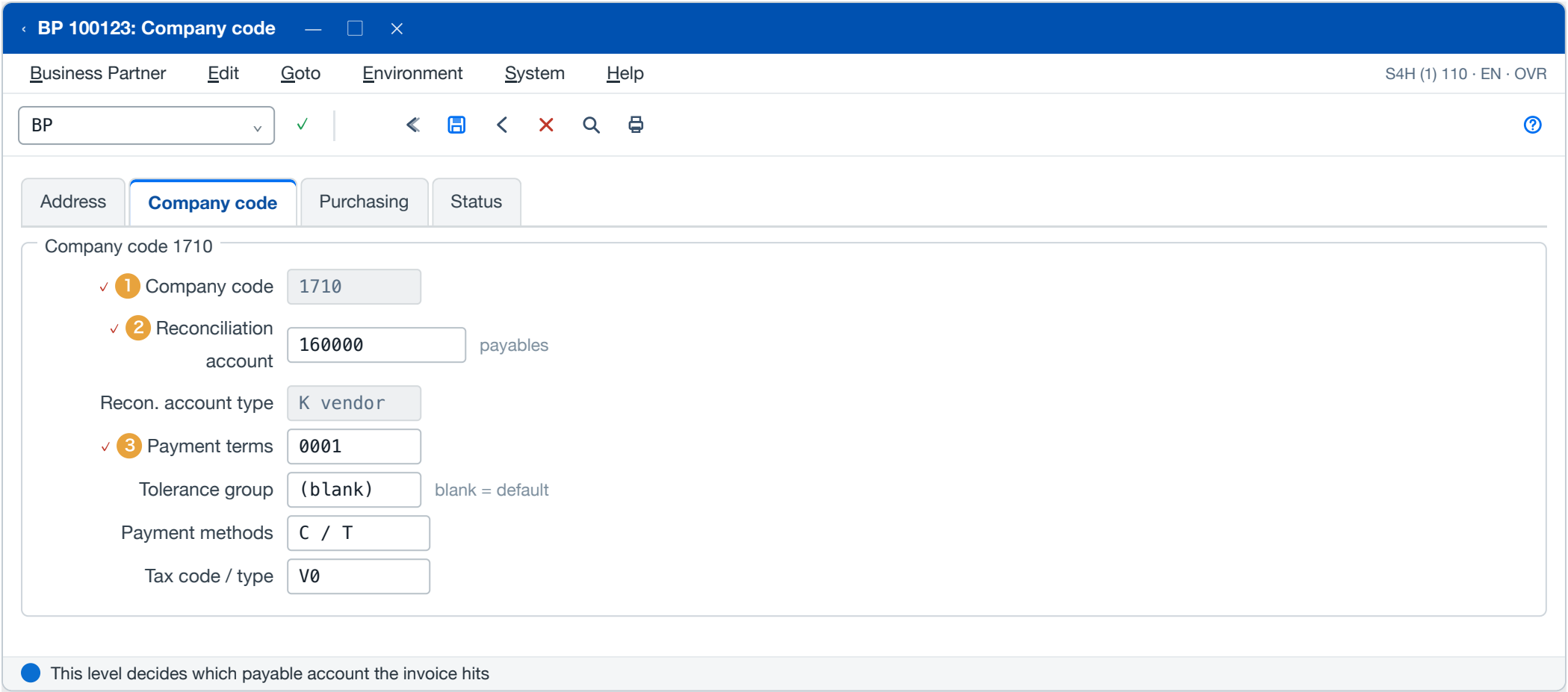


Figure 3-8 The company-code level decides which payable account an invoice hits and when it is due. A wrong reconciliation account makes MIRO fail with **account determination**. A blank tolerance group means the default from OMR6 for that company code.

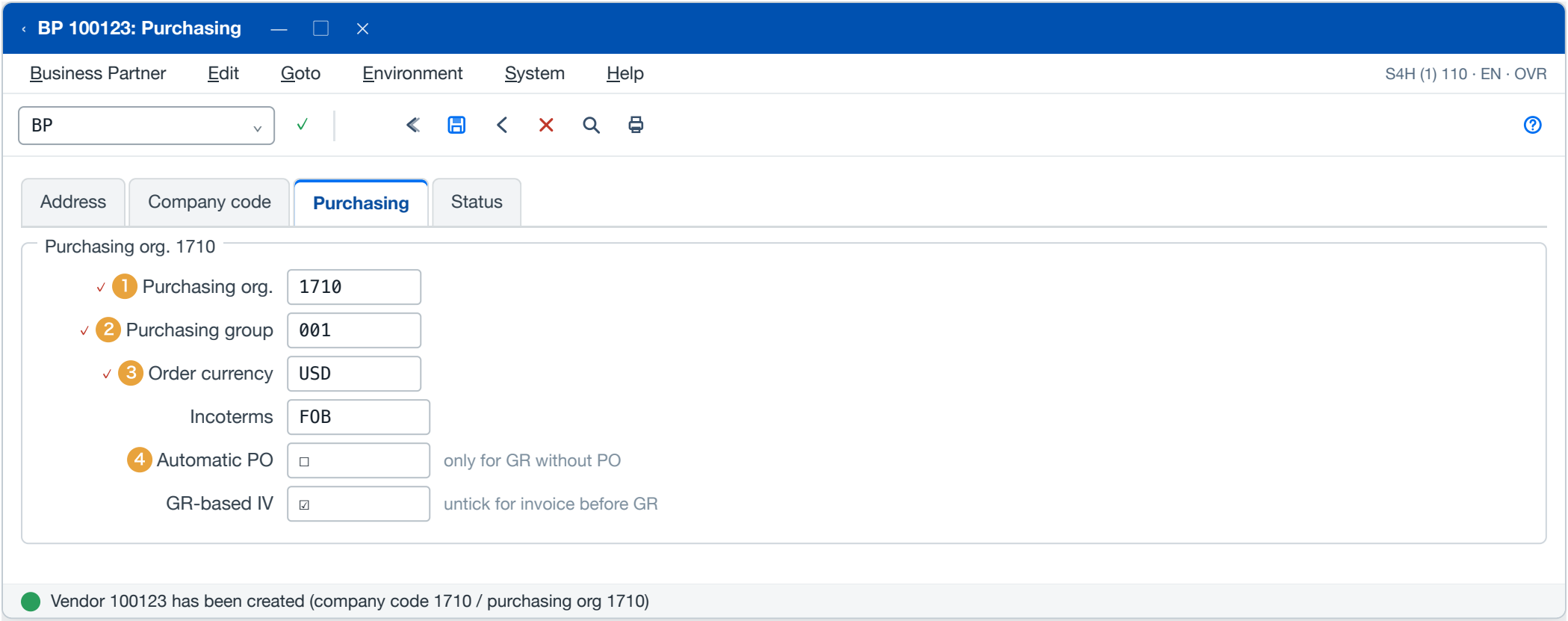


Figure 3-9 The purchasing level applies to this purchasing org only: order currency, purchasing group and the two switches (automatic PO, GR-based IV). **The same vendor can be configured differently in another purchasing org**, which is why PO errors start with “which purchasing org?”.

Field	Level	Req.	How to fill it / what happens if wrong
Business partner	General	Yes	Enter your own number (100123…) for external numbering, or leave blank; check the number range (BP01)
BP role	General	Yes	Tick FLVN00 + FLVN01; without FLVN01 the vendor cannot be selected in a PO
Name 1 / city / country	Address	Yes	Printed on POs and invoices; renaming the company elsewhere leaves documents on the old name
Reconciliation account	Company code	Yes	160000 (payables); wrong value → MIRO “account determination failed”
Payment terms	Company code	Yes	0001 immediate (this course); in practice often 0002 = 14 days 2 % discount

Tolerance group	Company code	No	Blank uses the default; only set it to loosen invoice tolerances for one vendor
Purchasing org. / group	Purchasing	Yes	1710 / 001; the group decides who follows the order
Order currency	Purchasing	Yes	USD; a PO in another currency carries an exchange rate
Automatic PO	Purchasing	No	Tick only for GR without PO (chapter 5)
GR-based IV	Purchasing	No	Ticked by default; untick for invoice before GR (chapter 6)

Four levels — a missing one blocks the process

General data (address) alone creates the BP but it cannot be selected in a PO; **+ purchasing org** lets you order; **+ company code** lets the invoice post. When something fails, first check which level the message names: “not maintained in purchasing org 1710” is the purchasing level, “account determination” is the company-code level.

7. Purchasing info record (ME11): where the price comes from

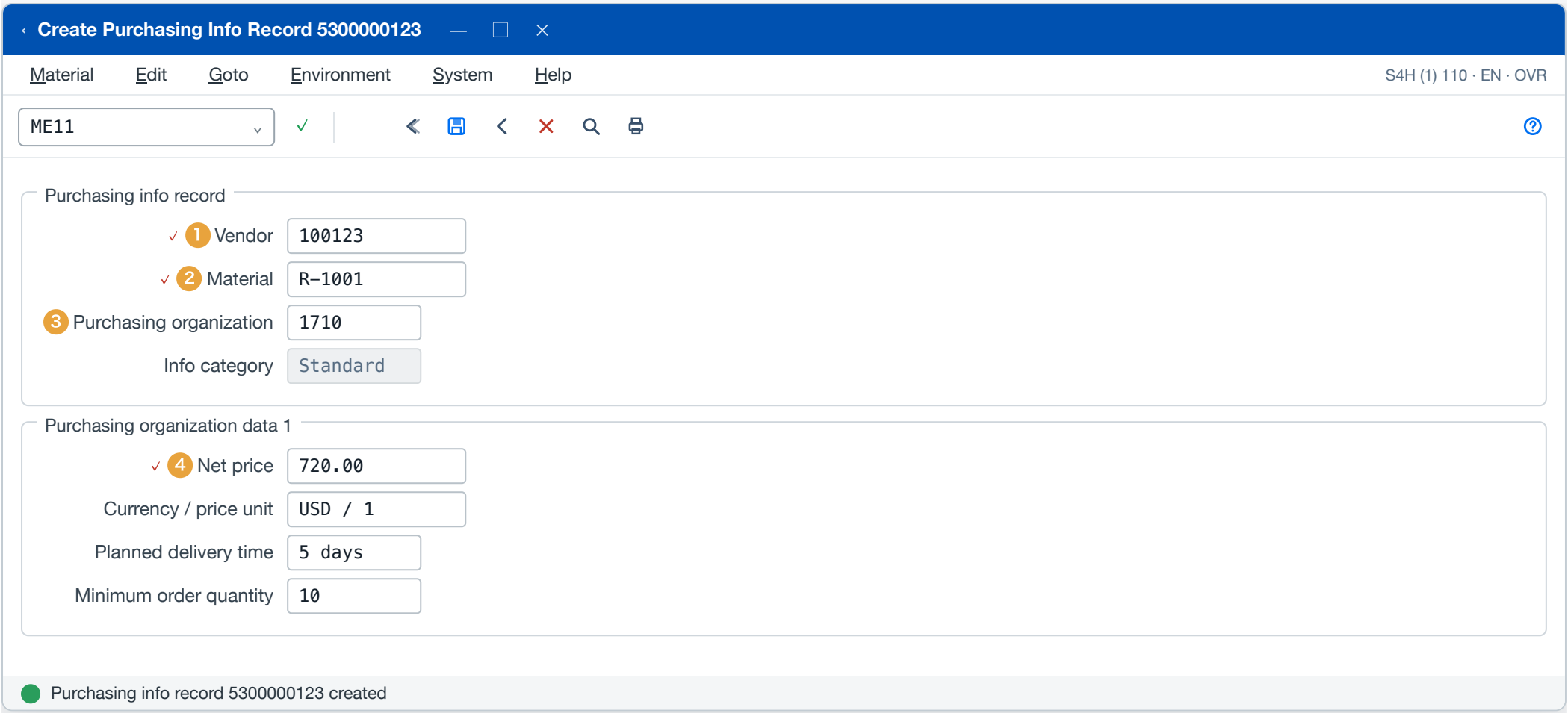


Figure 3-10 An info record is the triangle of vendor + material + purchasing organization, and net price 720.00 lives right here. ME21N does not take a price: the system looks it up in the order info record → contract → scheduling agreement → manual entry (if allowed).

8. Acceptance criteria and common errors

- [ ] MM03 finds R-1001, all five tabs have values, standard price 720.00 USD
- [ ] In BP, 100123 is visible under purchasing organization 1710 with reconciliation account 160000
- [ ] ME11 record 5300000123 shows net price 720.00 and price unit 1
- [ ] In ME21N, choosing vendor 100123 + material R-1001 proposes net price 720.00 automatically (no manual entry)

Status bar message	Root cause	Check first
Material R-1001 already exists	Duplicate creation	Look it up in MM03 first; change data with MM02
Vendor 100123 not maintained in purchasing organization 1710	BP was created only at general/company-code level	Add the Purchasing tab in BP, or use XK02
Material R-1001 not maintained in plant 1710	Wrong plant entered in MM01, or no plant view created	Extend with MM01 (tick only plant/storage when selecting views)
No net price could be determined: purchasing info record 100123 / R-1001 does not exist	ME11 was skipped or the purchasing organization does not match	Create it in ME11 and check organisation 1710
Entry error: valuation class 3000 not defined (M8 147)	No accounts configured for that valuation class in OBYC	Ask FI or a consultant to check OBYC BSX/WRX